

Submission MICRO1-QUIZ-SUB06

Question MICRO1-QUIZ-Q01

notation changes halfway:

1. $49 - 2P \approx 5 + P \Rightarrow P^* \approx (49 - 5)/(2 + 1) \approx 14.67$
2. $Q^* \approx 49 - 2(14.67) \approx 19.67$
3. substitution gives $Q_d \approx Q_s$

marks, subscripts, and units are mixed up

result written as: $P^*=14.67$, $Q^*=19.67$ (please interpret)

Question MICRO1-QUIZ-Q02

notation changes halfway:

1. $\% \Delta Q \approx -3/28.5$
2. $\% \Delta P \approx 0.0952$
3. $E \approx -1.11$; $|E| > 1$ (elastic)

marks, subscripts, and units are mixed up

result written as: elasticity=-1.11; elastic (please interpret)

Question MICRO1-QUIZ-Q03

notation changes halfway:

1. Shift the wedge between buyer and seller prices by t .
2. Quantity falls relative to equilibrium.
3. The lost mutually beneficial trades create a positive deadweight-loss triangle.

marks, subscripts, and units are mixed up

result written as: buyer price minus seller price equals tax; quantity falls; deadweight loss increases (please interpret)

Question MICRO1-QUIZ-Q04

notation changes halfway:

1. $SMC \approx PMC + \text{marginal external cost}$, so SMC lies above PMC.
2. A Pigouvian tax equal to marginal external cost aligns private and social incentives.

marks, subscripts, and units are mixed up

result written as: social MC above private MC; Pigouvian tax can internalize the external cost (please interpret)

Question MICRO1-QUIZ-Q05

notation changes halfway:

1. At the ceiling, Q_d exceeds Q_s .
2. Shortage $\approx Q_d - Q_s$; queues or rationing allocate the scarce quantity.

marks, subscripts, and units are mixed up

result written as: $Q_d > Q_s$ creates a shortage; queues/rationing may allocate units (please interpret)